LONG-FORM RESEARCH · OIL SHOCKS

Oil Shocks Compared: 2026 Against 1973, 1979, 1990 and 2022

Brent has spent most of the autumn above $100 after the largest oil supply disruption on record. Every major oil shock since 1970 has left a mark on inflation, interest rates, jobs and stock prices, and the 1970s shocks ended in recessions. This long-form report reconstructs each episode from the data, measures what happened to markets and the economy in the three years that followed, and asks how much of that history applies to 2026.

Global Markets Research · Commodities and Macro Desk Prepared by ANDRA MARKETS

~9%

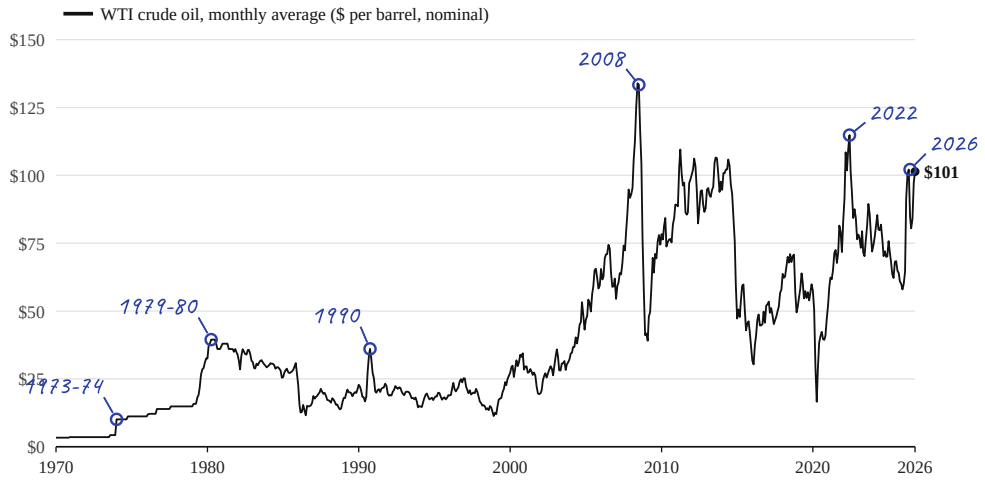
history rhymes?

Coverage summary. The 2026 shock is the largest by volume: the IEA estimates world oil output fell by 10.1 mb/d in March, about 9% of supply and twice the loss of any previous episode. By price, it is smaller than the 1970s: West Texas Intermediate rose about 58% from its pre-war level to its peak monthly average, against roughly 159% in 1973-74 and 166% in 1979-80. The economic response so far is milder too. US inflation peaked at about 4.3% in May on the CPI and has stayed near 3.5% to 4%, against 12.3% in 1974 and 14.8% in 1980; unemployment is 4.2%; the S&P 500 is near record highs. The US economy uses about two-thirds less oil per dollar of output than in 1973 and is now a net petroleum exporter. But the 1970s also teach that the damage from oil shocks comes through inflation and the central bank response, and on that front 2026 already looks more like the past: the Fed has hiked once and is likely to hike again, and long-term yields reached their highest since 2002.

biggest by volume, not price

Supply lost, 2026	WTI rise to peak	US CPI peak, 2026	Oil intensity vs 1973
10.1 mb/d	**+58%**	**~4.3%**	**−66%**
IEA; largest on record	*vs +159% in 1973-74*	*May; 14.8% in 1980*	*per real dollar of GDP*

EXHIBIT 1. WTI CRUDE OIL SINCE 1970 ($ PER BARREL, MONTHLY AVERAGE)



five shocks, one chart

Sources: FRED series OILPRICE (Dow Jones WTI spot, 1970-1985); EIA monthly WTI via public dataset (1986 onwards); October 2026 is the average of EIA daily prices to 27 October.

1.0 Executive Summary

Eight things history tells us

1. 2026 is the biggest shock by volume, not by price. The supply loss is twice any precedent, but prices rose far less than in the 1970s because strategic stocks, bypass pipelines and demand destruction absorbed much of it. Global inventories have fallen 509 million barrels since February.

2. Oil shocks always show up in inflation. In every episode US inflation rose within six to twelve months. In 2026 it rose from 2.4% in February to about 4.3% in May; in 1973-74 it climbed from 7.8% to 12.3%, and in 1979-80 from 9% to 14.8%.

3. The real damage comes from the policy response. The recessions of 1974-75 and 1980-82 were deepened by central banks fighting inflation; the ten-year yield reached 15% in 1981. In 2026 the Fed has hiked once and is likely to hike again in December.

4. The 1970s-1990 shocks all ended in recession. Unemployment rose from about 5% to between 7.5% and 9.7% in the three years after each of them. The 2022 shock did not, and 2026 has not so far, with unemployment at 4.2%.

5. Stocks fell hardest when inflation stuck. In real terms the S&P 500 lost about half its value between 1973 and 1974 and went nowhere for a decade. After 1990 and 2022 it recovered within about two years.

6. The economy is more resilient. US oil intensity is down about two-thirds since 1973 and the country exports more petroleum than it imports. Analysts estimate the oil burden is below the roughly 4%-of-GDP threshold that preceded past recessions.

7. But the buffers are gone. OPEC+ spare capacity is about 0.27 mb/d, the US strategic reserve is the lowest since 1982 and Europe's gas storage is at a record low. A second disruption would hit a system with nothing left to release.

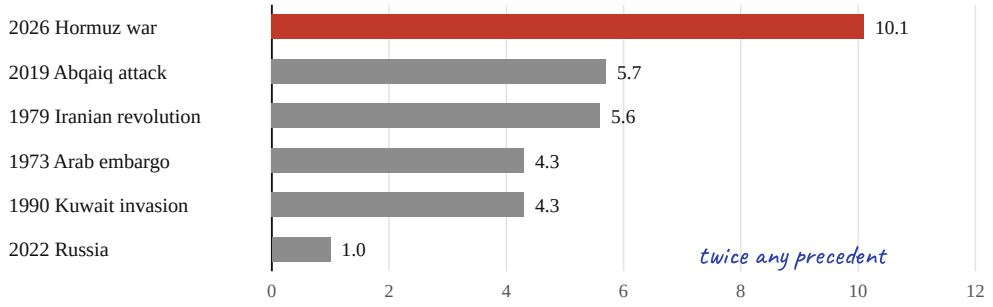
8. Our reading. History suggests 2026 is closer to 1990 or 2022 than to the 1970s in its economic impact, provided inflation expectations stay anchored. The risk is a 1979-style second leg: a confirmed Gulf outage on top of a central bank already tightening.

2.0 The 2026 Shock in Numbers

What makes this one different

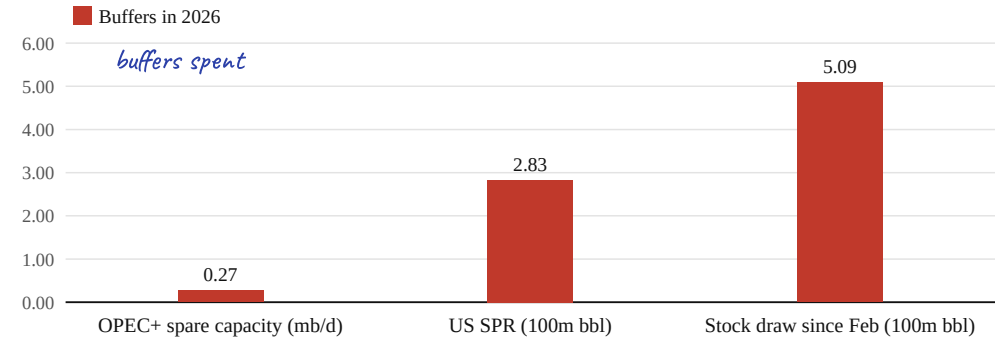
Before the war about 20.9 million barrels a day of crude and products, a fifth of world consumption, passed through the Strait of Hormuz. After the US and Israeli strikes on 28 February, Iran closed the strait and Qatar halted LNG production on 2 March. The IEA calls it the largest supply disruption in the history of the oil market: world output fell by 10.1 million barrels a day in March. Supply has partly recovered, with about 10.9 mb/d through Hormuz in September and 5.6 mb/d on bypass routes, but the 2026 average is 5.8 mb/d below last year while demand is down only 2.6 mb/d. The gap has been filled from inventories: global stocks are 509 million barrels below end-February, the IEA released 400 million barrels in March and the US strategic reserve, at about 283 million barrels, is the lowest since 1982.

Exhibit 2. Peak gross supply losses in major oil shocks (million barrels a day)



Sources: IEA, as compiled by globaloilshock.com and cited in Andra Markets 2026-66; Abqaiq loss restored within weeks.

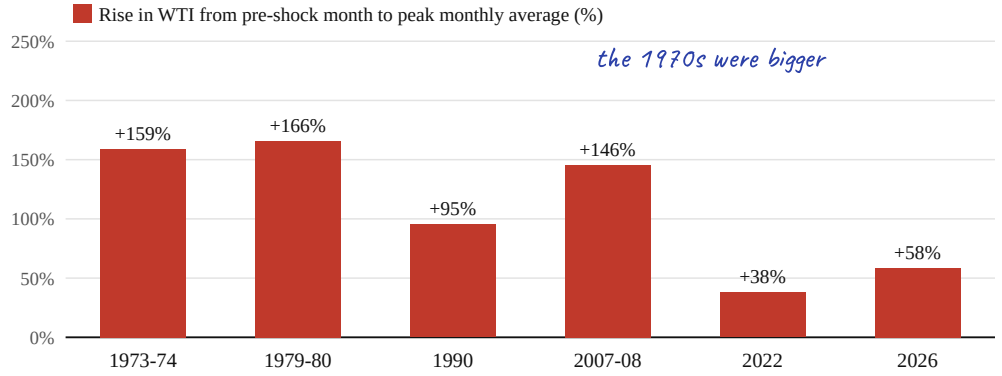
Exhibit 3. Buffers in 2026



Sources: IEA Oil Market Report (October 2026); US Department of Energy; Andra Markets 2026-66. Units as labelled.

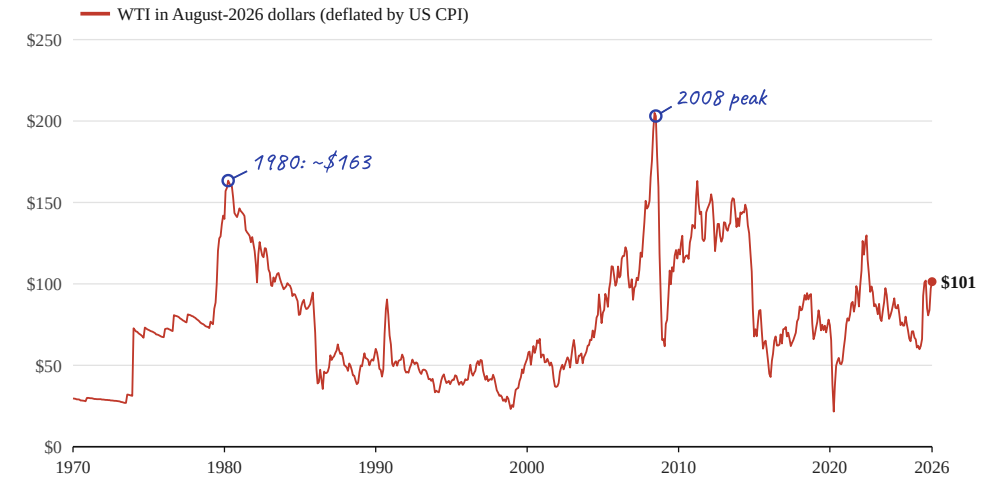
In price terms the shock is smaller than its volume suggests. WTI rose from about $65 in February to a peak monthly average near $102 and Brent spot above $120 in October. Adjusted for inflation, the 1980 peak was about $163 in today's dollars and the 2008 peak about $203, both above today's level. That is the first clue that the economic damage may be smaller than in the 1970s: what matters for households and companies is the real price and the share of income spent on energy, not the nominal headline.

Exhibit 4. Rise in WTI from the pre-shock month to the peak monthly average (%)



Sources: FRED OILPRICE and EIA monthly WTI; Andra Markets calculations. Pre-shock months: Sep 1973, Dec 1978, Jul 1990, Jan 2007, Jan 2022, Feb 2026.

Exhibit 5. WTI crude oil in August-2026 dollars



Sources: as Exhibit 1, deflated by US CPI-U (BLS via public dataset); Andra Markets calculations.

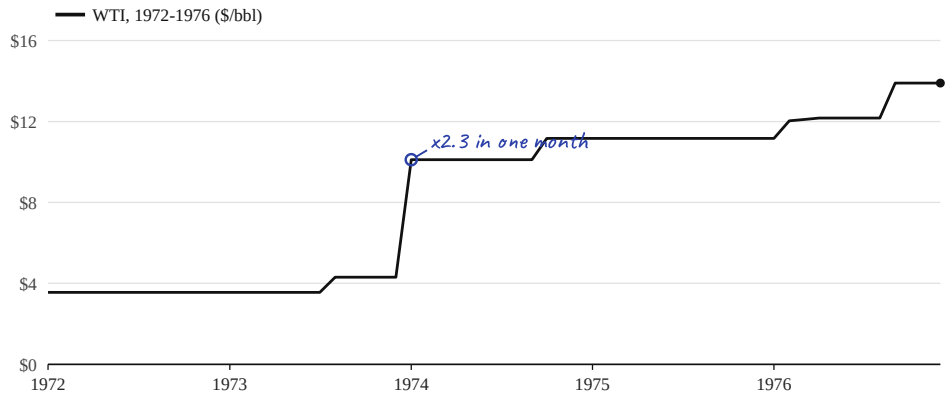
3.0 1973-74: The Arab Embargo

The shock that ended the post-war boom

In October 1973, during the Yom Kippur war, Arab members of OPEC cut production and embargoed the United States and the Netherlands. The posted price of West Texas crude, held near $3.56 for years, rose to $4.31 in August 1973 and to $10.11 in January 1974, almost tripling in five months. The global supply loss was about 4.3 mb/d. The United States, then importing a growing share of its oil, rationed fuel and introduced price controls. Inflation, already 7.8% when the embargo began, rose to 12.3% by December 1974. Unemployment rose from 4.9% to 8.5% in 1975 in what was then the deepest recession since the 1930s, and the S&P 500 fell about 48% in nominal terms from its January 1973 peak to October 1974. Bond yields rose to about 8%. The embargo was lifted in March 1974, but prices never returned to pre-shock levels.

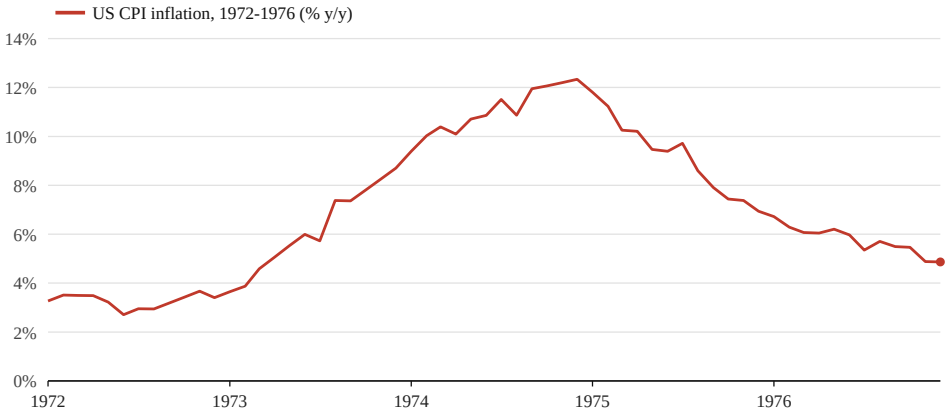
The 1973 shock introduced the word stagflation: high inflation and rising unemployment at the same time. Monetary policy was loose by later standards, and inflation expectations, already unanchored after the end of the Bretton Woods system in 1971, rose with oil prices. The lesson investors took from 1973 is that an oil shock on top of loose policy produces a decade of inflation.

Exhibit 6. The 1973-74 shock: WTI posted price



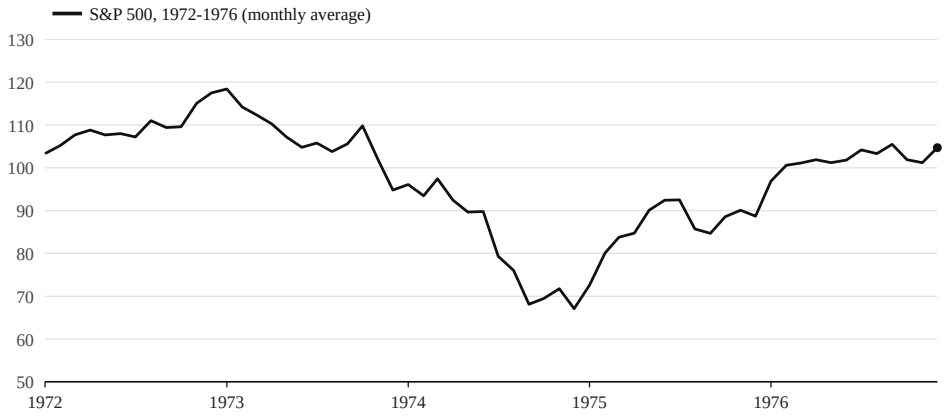
Source: FRED OILPRICE (Dow Jones WTI spot, monthly).

Exhibit 7. Inflation during the 1973-74 shock



Source: BLS CPI-U via public dataset; Andra Markets calculations.

Exhibit 8. Stocks during the 1973-74 shock



Source: S&P 500 monthly averages (Shiller data).

Exhibit A. 1973-74 in numbers

Indicator	Before	Peak / trough
WTI ($/bbl)	$4.31 (Sep 1973)	$11.16 (Oct 1974)
CPI inflation	7.8%	12.3% (Dec 1974)
Unemployment	4.9% (1973)	8.5% (1975)
S&P 500 (nominal)	~120 (Jan 1973 peak)	~63 (Oct 1974), about −48%

Sources: FRED; BLS; Shiller data. Rounded.

4.0 1979-80: The Iranian Revolution

The second shock and the Volcker cure

+166%

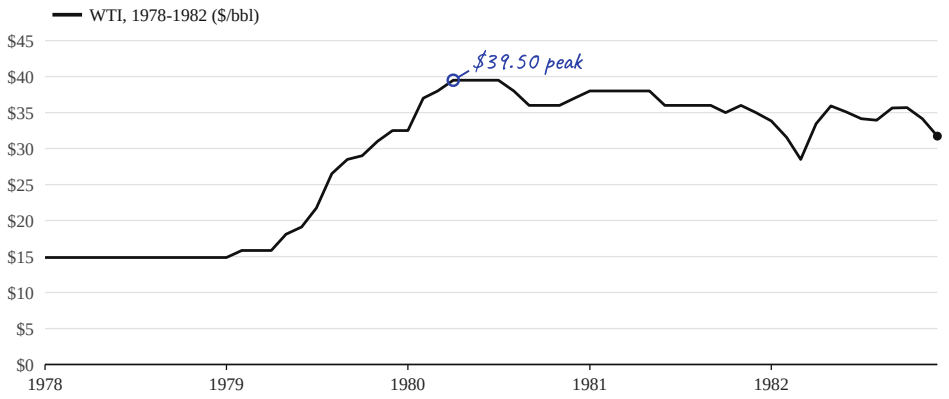
The Iranian revolution cut Iranian output in late 1978 and early 1979, and the Iran-Iraq war that began in September 1980 removed more supply. The supply loss peaked at about 5.6 mb/d. WTI rose from $14.85 in December 1978 to $39.50 in April 1980, an increase of 166%. US inflation, already about 9%, peaked at 14.8% in March 1980. The response defined modern central banking: Paul Volcker, appointed Fed chair in August 1979, raised short-term rates towards 20% and the ten-year Treasury yield peaked above 15% in 1981. The US went through two recessions, in 1980 and 1981-82, and unemployment reached 9.7% in 1982. Nominal stock prices held up, but in real terms the S&P 500 in 1982 was worth less than half its 1968 level.

~$14.8

The 1979 shock shows that the second shock in a decade is more dangerous than the first, because inflation expectations are already elevated. It also shows the cost of restoring credibility: a decade of high real rates, which in turn made the 1980s and 1990s a long bull market in bonds and equities once inflation fell.

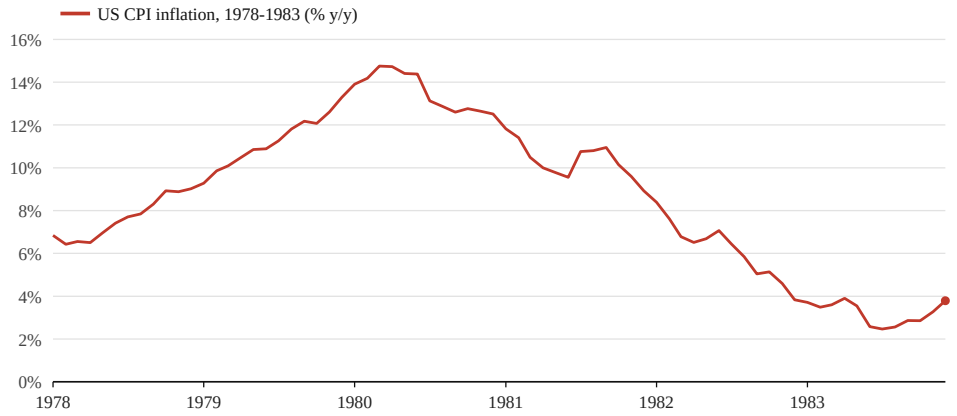
credibility

Exhibit 9. The 1979-80 shock: WTI



Source: FRED OILPRICE (monthly).

Exhibit 10. Inflation during the 1979-80 shock



Source: BLS CPI-U via public dataset; Andra Markets calculations.

Exhibit B. 1979-82 in numbers

Indicator	Before	Peak / trough
WTI ($/bbl)	$14.85 (Dec 1978)	$39.50 (Apr 1980)
CPI inflation	~9%	14.8% (Mar 1980)
Unemployment	5.8% (1979)	9.7% (1982)
10-year yield	~9%	>15% (Sep 1981)

Sources: FRED; BLS; Federal Reserve. Rounded.

5.0 1990-91: Iraq Invades Kuwait

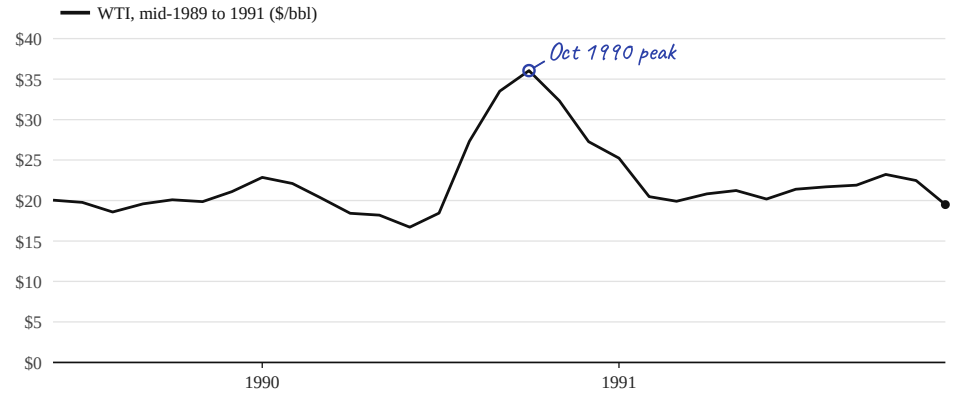
A short spike and a short recession

~$18.6

When Iraq invaded Kuwait on 2 August 1990, about 4.3 mb/d of supply was lost. WTI jumped from $18.64 in July to $35.92 in October, almost doubling, then fell back to about $20 by March 1991 after the coalition's air campaign began and Saudi Arabia and others raised output. Inflation rose from about 5% to 6.3% and the US entered a mild recession from July 1990 to March 1991; unemployment peaked at 7.5% in 1992. The S&P 500 fell about 20% from its July 1990 high but regained it within months. The 1990 shock is the template for a short, sharp disruption with spare capacity available to replace lost barrels.

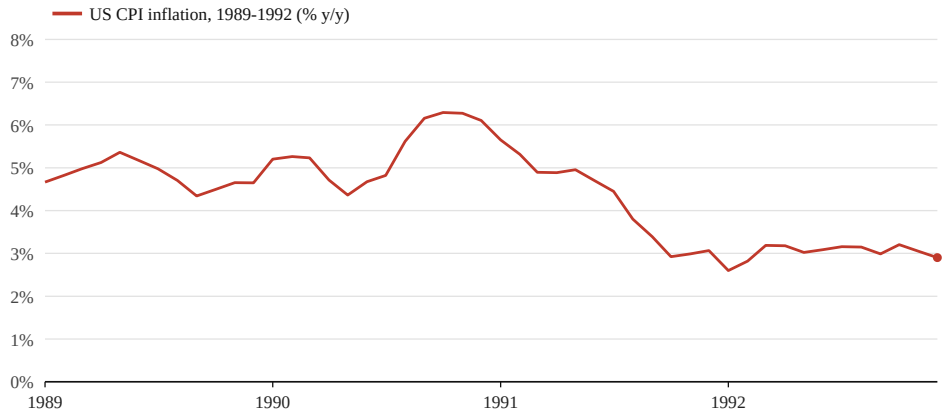
+93% in 3 months

Exhibit 11. The 1990 shock: WTI



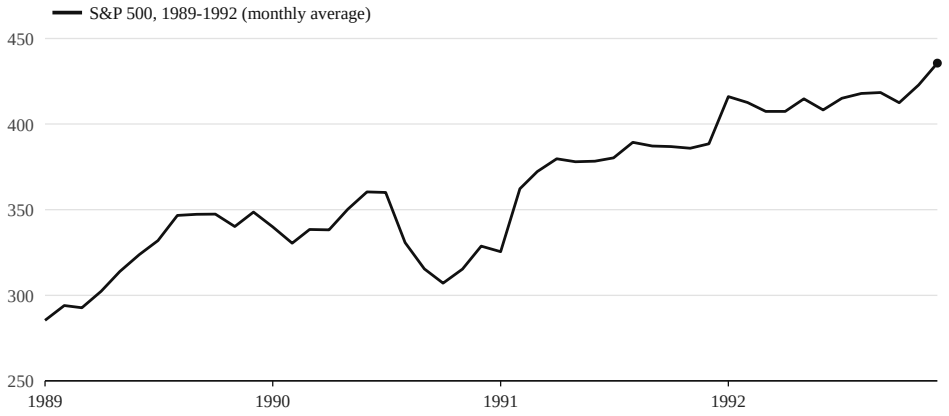
Source: FRED OILPRICE (monthly).

Exhibit 12. Inflation during the 1990 shock



Source: BLS CPI-U via public dataset.

Exhibit 13. Stocks during the 1990 shock



Source: S&P 500 monthly averages (Shiller data).

6.0 2008 and 2022: Demand and War

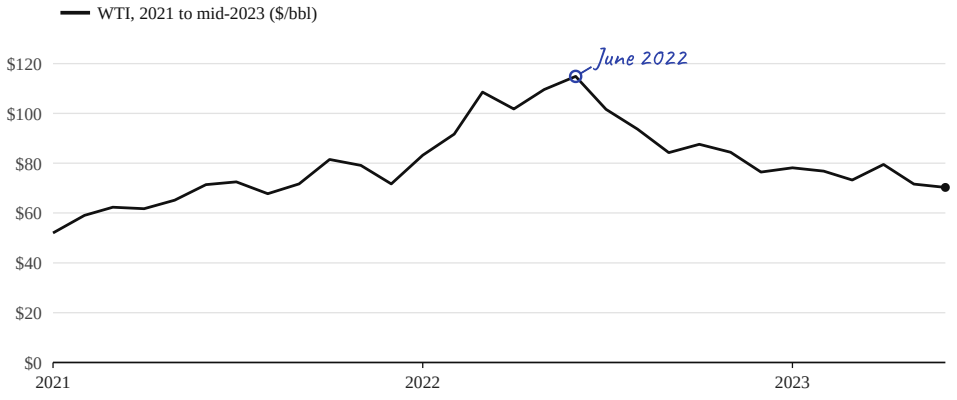
Two modern episodes

2008: demand-led

The 2008 spike was different: a demand-led rally driven by emerging-market growth and tight supply took WTI from about $55 in January 2007 to a monthly average of $134 in June 2008, before the financial crisis collapsed demand. Oil was a contributor to the 2008 recession rather than its cause. In 2022 Russia's invasion of Ukraine pushed WTI from about $83 in January to $115 in June; the actual supply loss was small, about 1 mb/d, but the risk premium was large. US inflation reached 9.1% in June 2022, the Fed raised rates by 5.25 percentage points in 16 months and the S&P 500 fell about 25% from peak to trough. There was no recession: unemployment stayed below 4%. 2022 showed that an oil and gas shock can lift inflation sharply without destroying jobs, if the labour market is strong.

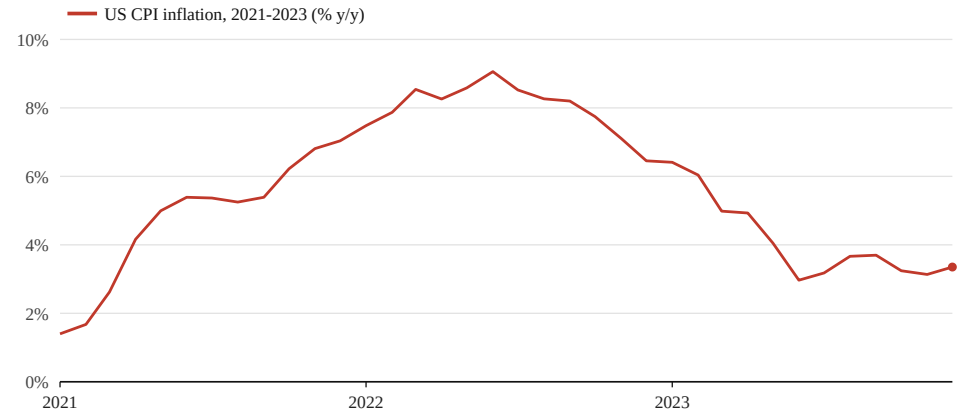
~$55

Exhibit 14. The 2022 shock: WTI



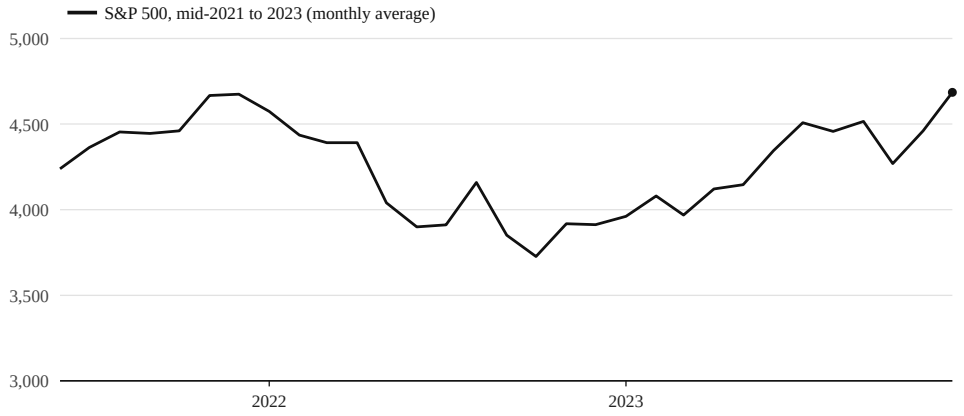
Source: EIA monthly WTI via public dataset.

Exhibit 15. Inflation during the 2022 shock



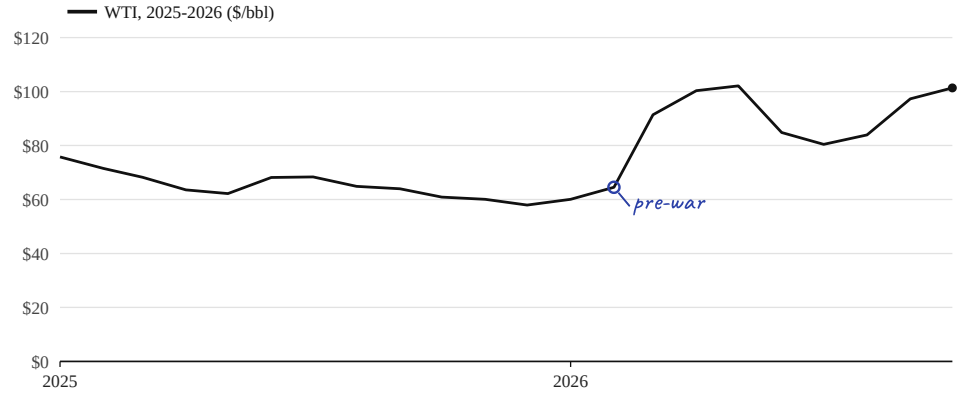
Source: BLS CPI-U via public dataset.

Exhibit 16. Stocks during the 2022 shock



Source: S&P 500 monthly averages (Shiller data).

Exhibit 17. The 2026 shock so far: WTI



Source: EIA monthly WTI via public dataset; October 2026 average of daily prices to 27 October.

7.0 Event Study: Oil, Prices and Rates

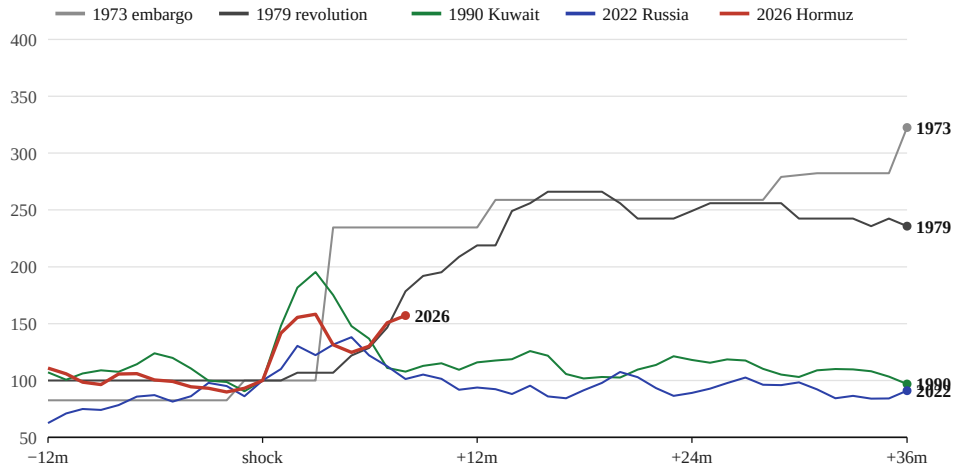
Lining up the five shocks

t=0 = the month before the shock

To compare the episodes we line them up on the month before each shock and track the following three years. The 2026 line covers only eight months so far. On oil prices, the 1973 shock stands out: the price stayed three times higher for years. In 1979 it more than doubled and stayed high until the mid-1980s. In 1990 and 2022 prices spiked and retreated within about a year. 2026 so far looks like a slower version of 1990: a rise of about 60%, with no collapse yet because the disruption has lasted longer.

~60%

Exhibit 18. Oil price around each shock (index, month before shock = 100)



2026 = the red line

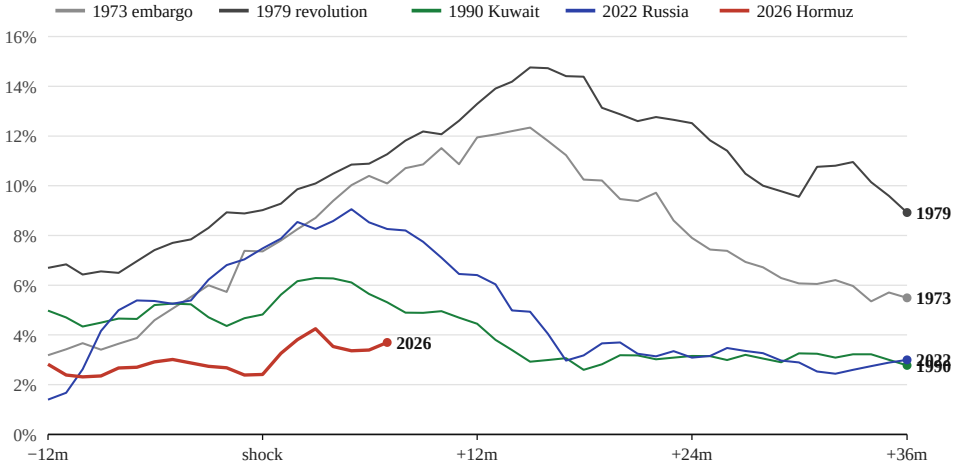
Sources: FRED OILPRICE; EIA; Andra Markets calculations.

inflation path

Inflation followed with a lag in every episode. In 1973 and 1979 it started high and rose further; in 1990 and 2022 it rose from more moderate levels. In 2026 it started near 2.4%, the lowest starting point of any shock, peaked at about 4.3% in May and has eased to around 3.5% to 3.7%. The pattern resembles 1990 more than the 1970s, with one caveat: inflation has now been above the Fed's 2% target for more than five years, which is why the Fed is responding more forcefully than it did in 1990.

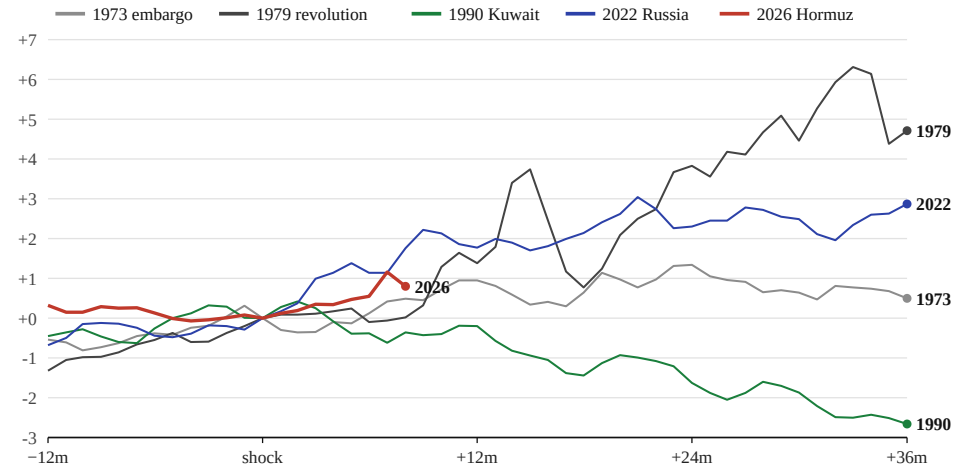
~2.4%

Exhibit 19. US CPI inflation around each shock (% year on year)



Sources: BLS CPI-U via public dataset; September 2026 from BLS (3.7%); Andra Markets calculations.

Exhibit 20. Change in the 10-year Treasury yield around each shock (percentage points)



yields: 1979 was extreme

Sources: Federal Reserve via public 10-year yield dataset; September and October 2026 from Stock Market Watch and Forbes Advisor; Andra Markets calculations.

+1.2pt in 2026

Bond yields rose in most episodes, but the scale varied enormously. After 1979 the ten-year yield rose by more than six percentage points as the Fed tightened to break inflation. In 2022 it rose by almost three points from a very low base. In 2026 it rose by about 1.2 points from February to the 5.31% peak in early October before easing. Higher yields are the main way an oil shock reaches asset prices: they raise the cost of capital for companies and households and lower the present value of future earnings.

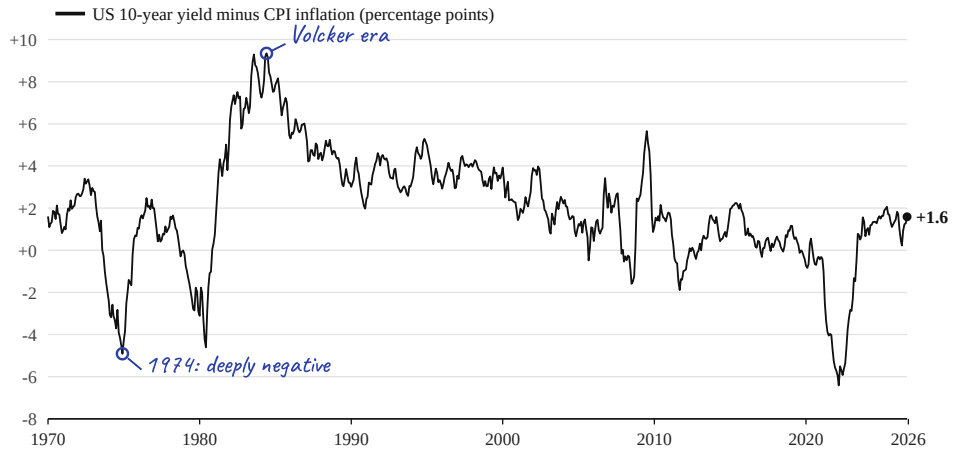
~5.3%

~2.7%

The most telling single indicator across the five episodes is the real interest rate: the ten-year yield minus inflation. In 1974 and again in 1979-80 it was deeply negative, which meant savers and bondholders were losing money in real terms and borrowers were being subsidised; inflation fed on itself. Volcker's policy pushed it to record positive levels in the early 1980s. In 2022 it was again negative for most of the year. In 2026 the real ten-year rate has stayed positive, at roughly one to two percentage points on this simple measure and 2.67% on inflation-protected bonds, which is the strongest argument that this shock will not become a 1970s-style inflation spiral.

real rates: the key

Exhibit 21. US real 10-year yield since 1970 (10-year yield minus CPI inflation, percentage points)



positive in 2026

Sources: Federal Reserve 10-year yield and BLS CPI-U via public datasets; Andra Markets calculations. A simple ex-post measure; TIPS real yields differ.

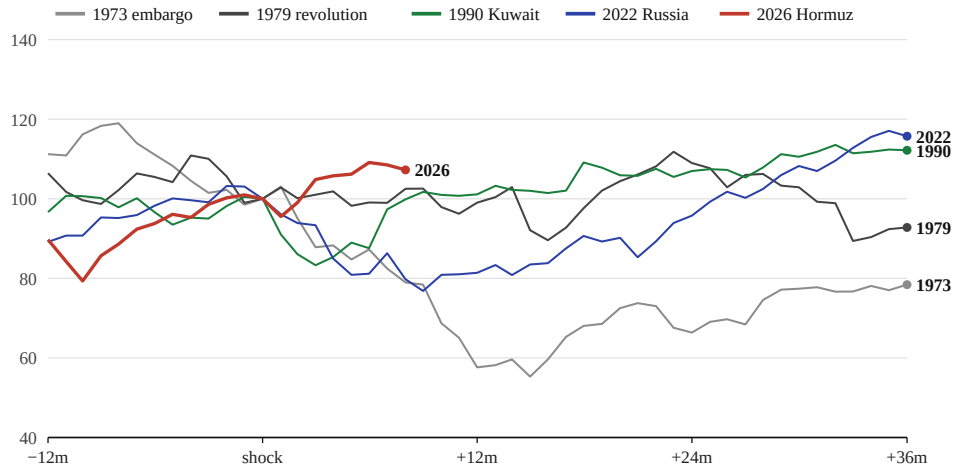
8.0 Event Study: Stocks and Gold

Who won and who lost

Measured in real terms, stocks fared worst after 1973, losing roughly half their value within two years, and were flat to down after 1979. After 1990 and 2022 real stock prices recovered within about 18 to 24 months. In 2026 the S&P 500 is higher in real terms than before the war, the first shock in which stocks rose, carried by the AI investment boom and by energy companies. The difference between a lost decade and a quick recovery has been inflation persistence, not the size of the oil move.

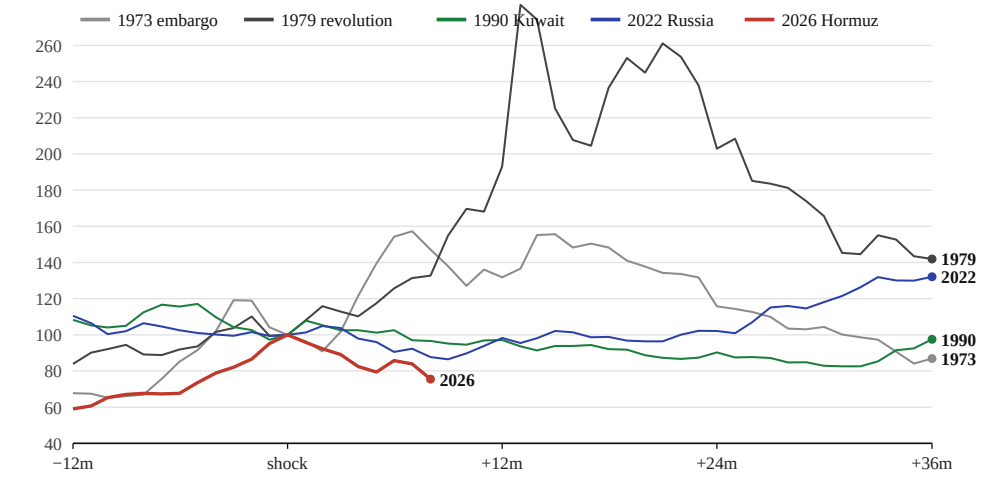
real stock returns

Exhibit 22. S&P 500 around each shock, in real terms (index, month before shock = 100)



Sources: S&P 500 monthly averages (Shiller data), deflated by US CPI-U; October 2026 from the 30 October close; Andra Markets calculations.

Exhibit 23. Gold around each shock, in real terms (index, month before shock = 100)



Sources: public gold-price dataset (monthly averages), deflated by US CPI-U; October 2026 from futures on 30 October; Andra Markets calculations. Gold was not freely priced before 1971-74, which affects the 1973 line.

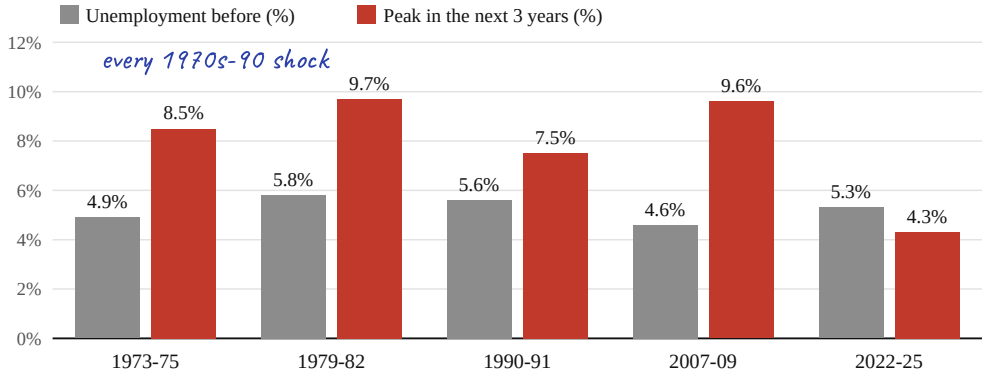
Gold was the great winner of the 1970s, rising many times over in real terms as inflation ran out of control and real interest rates were negative. It did little in 1990 and 2022. In 2026 it rose strongly before and early in the war, to a record near $5,000 in the first quarter, and has since fallen below $3,900 as real yields rose to 2.67%. That fits the historical pattern: gold protects against inflation when central banks fall behind, not when they are tightening.

9.0 Jobs and Recessions

The cost to the real economy

Every oil shock from 1973 to 1990 was followed by a recession. Unemployment rose from 4.9% to 8.5% after 1973, from 5.8% to 9.7% after 1979 and from 5.6% to 7.5% after 1990; the demand-led 2008 spike was followed by the financial crisis and 9.6% unemployment. The 2022 shock was the exception, with unemployment at 3.6% in 2022 and 2023. In 2026 unemployment is 4.2%, slightly higher than a year ago, and job growth has slowed sharply: payrolls rose only 29,000 in September. Analysts at Eco3min argue that every completed US oil shock with an oil burden above about 4% of GDP was followed by a recession within 18 months, and that 2026 has stayed below that threshold so far.

Exhibit 24. US unemployment rate before and after each shock (%)



Sources: BLS annual averages via public employment dataset (1972-2025); Andra Markets selection. 2022-25 peak is the 2025 annual average.

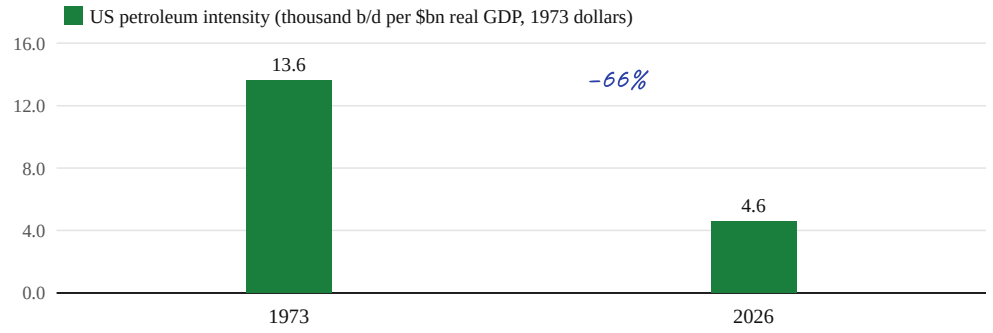
10.0 What Is Different in 2026

Structure, policy and buffers

Three structural differences explain why 2026 has hurt less so far. First, oil intensity: the US now uses about 4.6 thousand barrels a day per billion dollars of real GDP, measured in 1973 dollars, against 13.6 in 1973, a fall of about two-thirds. Globally oil intensity has fallen by more than half. Second, trade: the US became a net petroleum exporter in 2020 and in 2025 exported 2.8 million barrels a day more than it imported, against net imports of 12.5 mb/d at the 2005 peak. A higher oil price now transfers

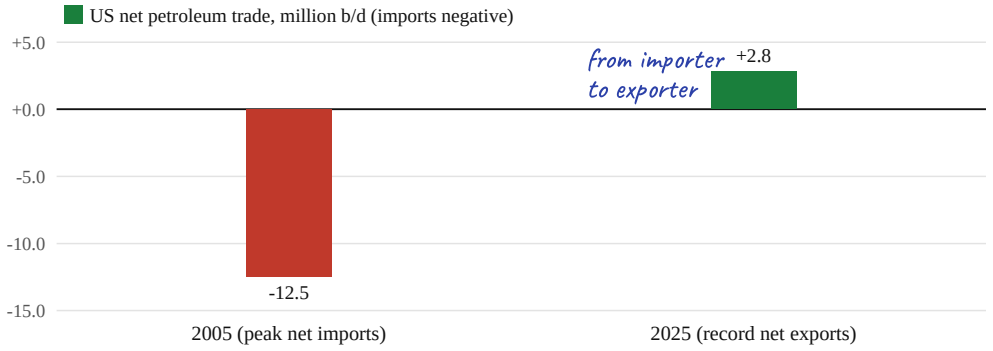
income within the US economy, from consumers to producers in Texas and North Dakota, rather than abroad. LPL Research estimates oil would need to exceed $140 to threaten US growth on that basis. Third, policy credibility: unlike in the 1970s, long-term inflation expectations have stayed close to 2% to 3.5%.

Exhibit 25. US petroleum intensity, 1973 vs 2026



Source: Eco3min analysis based on EIA consumption and BEA GDP data (thousand b/d per billion dollars of GDP in 1973 dollars).

Exhibit 26. US net petroleum trade (million barrels a day)



Sources: EIA via Randal Olson analysis (2005 net imports; 2025 net exports).

but: no buffers left

Against that, three features make 2026 more fragile than it looks. Buffers have been used: spare capacity is almost nil, strategic stocks are the lowest in decades and Europe's gas storage is at a record low. The disruption has lasted eight months, longer than 1990, and is concentrated in refined products such as diesel, where prices are up about 70%. And the Fed is tightening into the shock with inflation above target for five years. A second leg, like 1979 after 1973, is the scenario history warns about most.

~70%

10.2 The Oil Burden

Why $100 is not what it used to be

~4% of GDP

A useful way to compare shocks across decades is the oil burden: the share of GDP an economy spends on petroleum at current prices. Eco3min's analysis of US episodes since 1970 finds that every completed shock in which the burden peaked above about 4% of GDP was followed by an NBER recession within 18 months, while episodes below that level, in 2000, 2011 and 2022, were not. The burden rises with the oil price but falls with oil intensity and GDP. Because US consumption is roughly 19 million barrels a day against nominal GDP of about $31.7 trillion, a $100 barrel today represents a much smaller burden than it did in 1980 or 2008. The threshold is a warning sign, not a trigger, but on this measure the US economy can absorb today's prices, while more oil-intensive, import-dependent economies cannot.

~19M

Exhibit C. US oil shocks and the recession threshold

Episode	Peak burden vs ~4% threshold	Recession within 18 months?
1973-74	above	yes
1979-80	above	yes (two)
1990	above	yes, mild
2008	above	yes
2000, 2011, 2022	below	no
2026	below so far (analyst estimate)	not so far

Source: Eco3min, 'Oil Shocks and US Recessions: The 4%-of-GDP Burden Threshold (1970-2026)'; Andra Markets summary.

10.5 Beyond the US

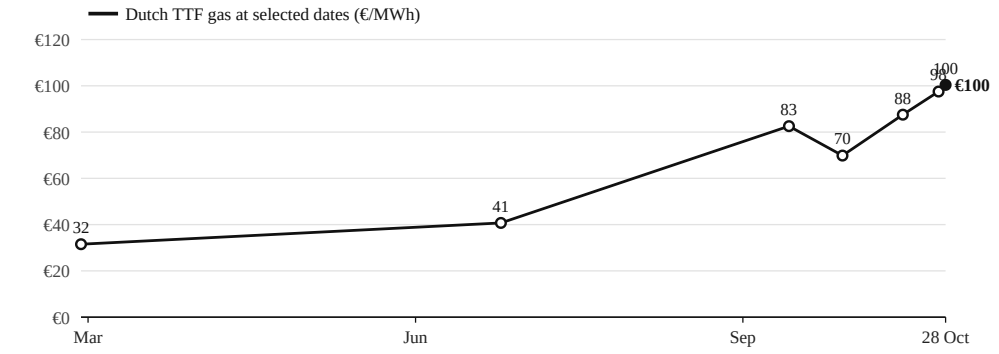
Europe, importers and exporters

~€31.5

The United States is better insulated than in the 1970s, but much of the world is not. Europe imports most of its energy and faces the shock mainly through gas: Qatar's LNG is stuck behind Hormuz and the Dutch TTF benchmark rose from €31.5 per megawatt-hour before the war to more than €100 on 28 October, while EU storage entered the winter at a record low of 74.6%. Euro-area inflation reached 3.8% in September with energy up 18.8%. Asian importers such as India, Japan and Korea pay for oil in dollars, so they suffer twice when their currencies weaken. India's crude import bill rose 46% in six months and its central bank spent about $65 billion of reserves defending the rupee. Exporters gained: the Norwegian krone rose about 8% against the dollar this year and US energy stocks more than 50%.

gas: the European problem

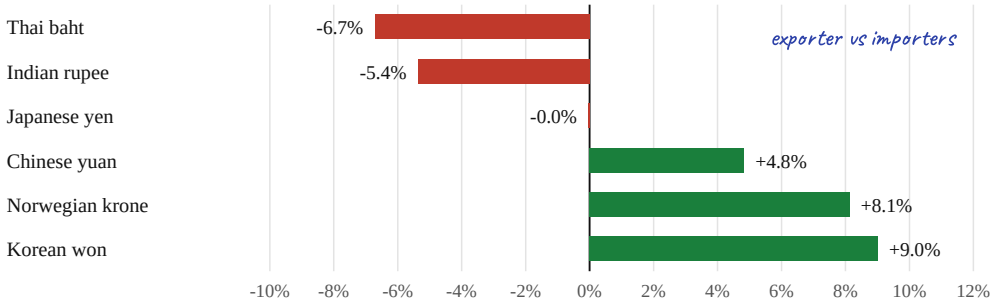
Exhibit 27. European gas: Dutch TTF at selected dates, 2026 (€ per MWh)



€31 → €100

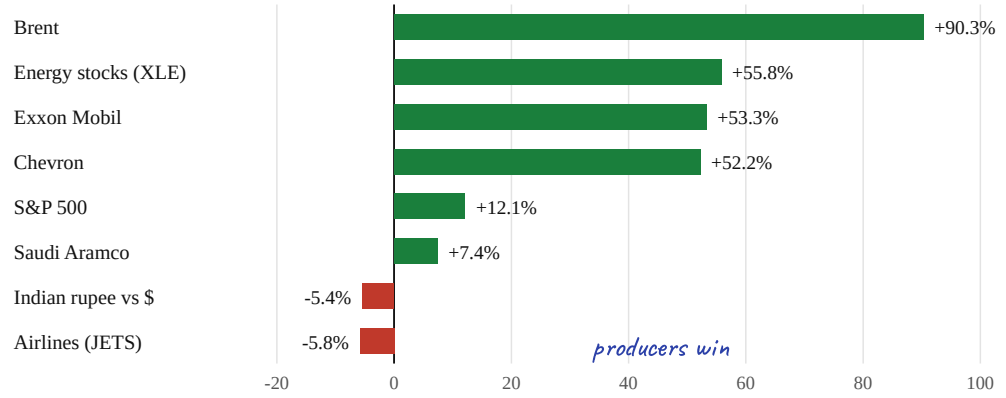
Sources: Andra Markets 2026-68 (MarketScreener, The Traders Spread, Euronews, discoveryalert.com).

Exhibit 28. Currencies against the US dollar in 2026 (%)



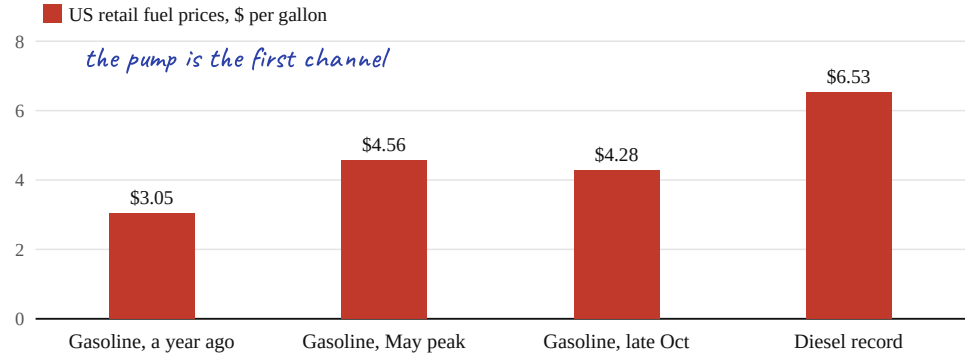
Source: Federal Reserve H.10 daily exchange rates, 31 Dec 2025 to 23 Oct 2026; Andra Markets calculations.

Exhibit 29. Change since 31 December 2025, to 26 October (%)



Source: Yahoo Finance closes, as published in Andra Markets 2026-66.

Exhibit 30. US fuel prices ($ per gallon)

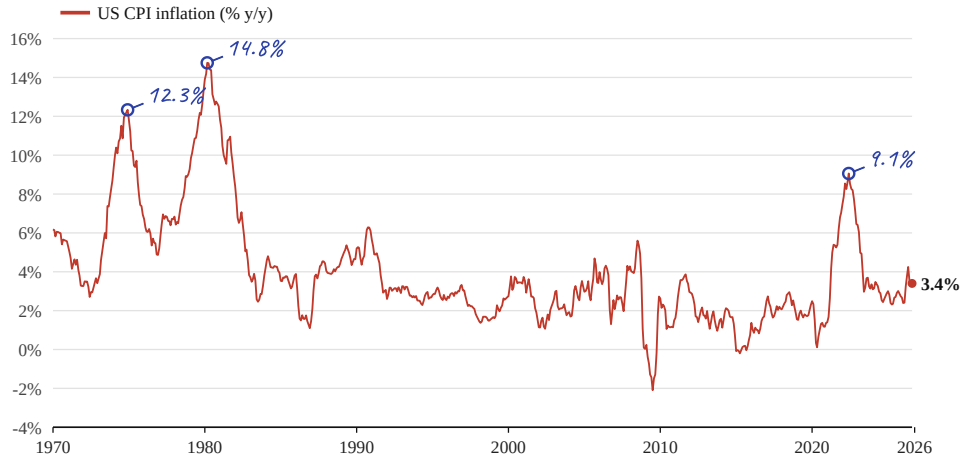


Sources: AAA via Andra Markets 2026-66 and 2026-70.

11.0 The Long View

Fifty years of oil, inflation, rates and stocks

Exhibit 31. US CPI inflation since 1970 (% year on year)



Sources: BLS CPI-U via public dataset; September 2026 from BLS.

Exhibit 32. US 10-year Treasury yield since 1970 (%)



Sources: Federal Reserve via public dataset; recent points from Stock Market Watch and Forbes Advisor.

Exhibit 33. S&P 500 in August-2026 dollars since 1970



Sources: S&P 500 monthly averages (Shiller data), deflated by US CPI-U; Andra Markets calculations.

11.5 What History Means for Your Money

An educational guide, not advice

cash: real returns matter

Cash and deposits. In the 1970s savers lost money in real terms, because deposit rates trailed inflation. After 1980 the opposite happened: real rates were high for years. In 2026, with US cash yields near 4% and inflation near 3.5%, cash is roughly keeping pace, which is a sharp difference from the 1970s. What matters is the rate after inflation, not the headline rate.

~4%

Bonds. Bond prices fall when yields rise, so the 1970s and 2022 were bad years for long-term bonds; 1990 was mild. The best decade for bonds began when inflation peaked in the early 1980s. In 2026 long-term bonds lost value in September as the ten-year yield jumped, then recovered part of it in October.

bonds: hurt when yields rise

stocks: inflation is the enemy

Stocks. Stocks were hurt most when inflation became entrenched, as in 1973-82, and recovered quickly when it did not, as in 1990 and 2022. Within the market, energy producers gained and energy users lost in every episode; in 2026 US energy stocks are up more than 50% this year while airlines have fallen.

~50%

Gold. Gold was the best asset of the 1970s, when real rates were deeply negative, but has fallen in 2026 because real yields are positive and rising. History suggests gold protects against inflation when central banks fall behind, not when they are fighting it.

gold: depends on real rates

households: fuel first

Household budgets. The first effect of every oil shock is at the pump and on heating bills. US gasoline rose from about $3.05 a gallon a year ago to a peak of $4.56 in May and was about $4.28 in late October; diesel reached a record $6.53. Lower-income households, who spend a larger share of income on fuel, are hit first, which is one reason consumer sentiment is near record lows.

~$3

the lost decade

The general lesson. No single asset protected investors in every shock. Portfolios that held a mix of assets, and investors who did not sell at the bottom, fared better than those who bet on one outcome. This section describes historical behaviour for educational purposes and is not a recommendation to buy or sell any asset.

diversification

12.0 Scorecard and Scenarios

Putting it together

Exhibit D. Five oil shocks at a glance

Shock	Supply loss	Oil move	Peak CPI	Unemployment	Recession	10-year yield	Stocks (real)
1973-74 embargo	4.3 mb/d	+159%	12.3%	4.9% → 8.5%	yes, 1973-75	~6.8% → ~8%	about −50%
1979-80 revolution	5.6 mb/d	+166%	14.8%	5.8% → 9.7%	yes, 1980 and 1981-82	~9% → >15%	flat nominal, down real
1990 Kuwait	4.3 mb/d	+95%	6.3%	5.6% → 7.5%	yes, mild	~8.8% → ~8.9%	−20%, recovered fast
2022 Russia	~1 mb/d	+38%	9.1%	3.6% (flat)	no	~1.8% → ~4.8%	−25%, recovered in ~2 yrs
2026 Hormuz	10.1 mb/d	+58% (so far)	~4.3%	4.0% → 4.2%	no (so far)	~4.1% → 5.3% peak	up so far

Sources: IEA; FRED; EIA; BLS; Federal Reserve; Shiller data; NBER recession dates as widely reported; Andra Markets calculations and summaries.

Exhibit E. The 2026 shock: timeline

Date	Event
28 Feb	US and Israeli strikes on Iran; Hormuz closes
2 Mar	Qatar halts LNG production
11 Mar	IEA collective stock release of 400m barrels
May	US CPI peaks near 4.3%; gasoline $4.56
17 Jun	Islamabad Memorandum; partial reopening
8 Jul	interim truce collapses
10-11 Sep	drone strikes shut the East-West pipeline
16 Sep	Fed hikes for the first time since 2023
5 Oct	10-year Treasury yield 5.31%, highest since 2002
26 Oct	IRGC declares the strait closed again; Brent ~$116
28 Oct	Fed holds 10-2; TTF crosses €100

Sources: Andra Markets 2026-66, 2026-76 and 2026-80 (IEA, Reuters, Federal Reserve, BLS, press reports).

Exhibit F. Andra Markets scenarios to end-2027

Scenario	Prob.	Historical analogue	Oil	Macro
Gradual normalisation	45%	1990-91	Brent $80-95 by mid-2027	inflation back to ~3%; Fed pauses after December
Prolonged disruption	35%	2022	Brent $100-120	inflation 3.5-4.5%; more hikes; growth slows
Second leg	20%	1979-80	Brent above $130	inflation above 5%; recession risk high

Andra Markets scenarios; probabilities and ranges are judgemental.

Exhibit G. What to watch

Indicator	Why it matters	Latest
Hormuz tanker transits	the source of the shock	~10.9 mb/d (Sep)
Core inflation and wages	second-round effects, the 1970s mechanism	core PCE 3.1%
Fed path	policy response	3.75-4.00%; Dec hike likely
Diesel prices	the product squeeze	~$6.32/gal
Unemployment	recession signal	4.2%
Long-term inflation expectations	credibility	Michigan 5-10y 3.5%

Andra Markets selection.

12.5 Questions Investors Ask

Short answers from the data

Q1

Will there be a recession? Every oil shock from 1973 to 1990 was followed by one; 2022 was not. The US economy is less oil-intensive and the oil burden is below the level that preceded past recessions, but job growth has slowed sharply and the Fed is tightening. The data point to elevated risk, not inevitability.

~4.3%

Q2

Is this the 1970s again? Not on the numbers so far. Inflation peaked near 4.3%, not 12% to 15%; real interest rates are positive; inflation expectations are anchored near 3% to 3.5%. The 1970s became a decade-long problem because policy accommodated inflation. A second shock combined with a hesitant central bank would change that answer.

Q3

How long do oil shocks last? Price spikes have ranged from months, in 1990, to years, after 1973 and 1979. The 2026 disruption has already lasted eight months. Prices usually fall once supply returns or demand adjusts, but they rarely return to pre-shock levels quickly.

Q4

Who benefits? Oil producers and exporters, energy companies, refiners and the currencies of exporting countries. In 2026 Exxon and Chevron reached record highs and the Norwegian krone strengthened. Energy-importing countries, airlines and lower-income households lose most.

Q5

Why hasn't gold protected investors this time? Because gold competes with interest-bearing assets. When real yields rise, as they have in 2026, gold tends to fall, even during wars and inflation shocks. In the 1970s real yields were negative, which is why gold soared.

Q6

What would end the shock? A reopening of Hormuz with tanker traffic returning to normal, which would release a large volume of crude and products. Markets would then price lower oil and lower inflation quickly, as in early 1991. These answers summarise historical patterns and are not investment advice.

13.0 Glossary

Terms used in this report

Exhibit H. Glossary

Term	Meaning
WTI / Brent	the US and international benchmark crude oil prices
mb/d	million barrels a day; world consumption is about 100 mb/d
Spare capacity	oil output that producers could add quickly; the main shock absorber
Strategic reserve (SPR)	government oil stocks held for emergencies
Real price	a price adjusted for inflation, here in August-2026 dollars
Stagflation	high inflation combined with weak growth and rising unemployment
Second-round effects	when higher energy costs feed into wages and other prices
Oil intensity	oil used per unit of GDP
10-year yield	interest rate on 10-year US government debt; a benchmark for borrowing costs
Real yield	a bond yield minus expected inflation

reading: 2026 is the biggest shock by volume but, so far, closer to 1990 than to 1979. inflation persistence and the Fed decide which way it breaks

Methodology and Source Notes

Method. This report combines long-run public data series (FRED WTI 1970-1985, EIA monthly WTI from 1986, BLS CPI-U, Federal Reserve 10-year yields, Shiller S&P 500 data, monthly gold prices and BLS annual unemployment) with IEA supply estimates and published analysis. Event windows start in the month before each shock. Real values are deflated by US CPI-U to August 2026. Historical narratives summarise widely reported facts. Scenario probabilities are judgemental. Handwritten notes and highlights are informal commentary by the desk. This note is analysis, not investment advice.

Principal sources. FRED (OILPRICE); EIA; IEA Oil Market Report; BLS; Federal Reserve; Robert Shiller data; World Gold Council and public gold series; NBER; LPL Research; Eco3min; Econbrowser; Randal Olson (EIA data); Columbia CGEP; Andra Markets 2026-66, 2026-76 and 2026-80.

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